

## Engagement Quality Review

### Option B

#### Note to IAASB:

- This paper is to be read in conjunction with the paper on Option A.
- Option B includes all EQ review material in ISQC 2, except for requirements in ISQC 1 to follow ISQC 2 and regarding the scope of engagements subject to EQ reviews.
- This paper includes relevant extracts from ISQC 1 and 2 to illustrate in a basic manner how this option will work. It has been prepared on a rapid basis and does not reflect other changes in response to the Board discussion on Wednesday. The Task Force also notes that improvements to the wording and structure will be made as the Task Force further discuss both standards.

#### Matter for IAASB Consideration

- The Board is asked to focus on the explanation of the pros and cons (or consequences) for each option (A and B) and to express a preference for an option.

**Location of Material** (paragraph numbers reflected hereunder refer to the Board meeting posted papers)

| ISQC 1                                                                                                                                                                                                                                                                                   | ISQC 2                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>• Firm policies or procedures on:               <ul style="list-style-type: none"> <li>o EQ reviews being done in accordance with ISQC 2 (brief)</li> <li>o <b><u>[New] Scope of engagements subject to EQ reviews</u></b></li> </ul> </li> </ul> | <ul style="list-style-type: none"> <li>• Firm policies or procedures on:               <ul style="list-style-type: none"> <li>o Appointment (incl. eligibility)</li> <li>o Responsibilities of EQ reviewer</li> <li>o Responsibilities of the engagement partner in relation to EQ reviews</li> <li>o Discussions that lead to an objectivity threat</li> <li>o Communication of responsibilities</li> </ul> </li> <li>• Firm policies or procedures on:               <ul style="list-style-type: none"> <li>o Detailed eligibility criteria (para. 20)</li> </ul> </li> <li>• Impairment of eligibility (para. 21)</li> <li>• Eligibility for assistants (para. 22)</li> <li>• Performance of EQ review (23-25)</li> <li>• Documentation of EQ review (para. 26)</li> </ul> |

**Pros and Cons of Option B**

| Pros                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Cons                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
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| <ol style="list-style-type: none"> <li>1. ISQC 1 is easier to read / consistent level of detail throughout.</li> <li>2. ISQC 2 is now truly standalone / easier for NSS to adopt alone.</li> <li>3. Readers will find it easier to locate EQ review material.</li> <li>4. NSS that want to adopt only EQ reviews requirements can do so.</li> <li>5. Scope of ISQC 2 will identify for smaller firms whether the EQ review standard applies to them (e.g., a firm that only performs AUP engagements).</li> <li>6. Simpler than Option A.</li> </ol> | <ol style="list-style-type: none"> <li>1. Reduces obvious linkage from ISQC 1 to ISQC 2.</li> <li>2. Because ISQC 2 needs to address firm policies or procedures on the role of the engagement quality reviewer, and aspects of the role of the engagement partner and engagement team in dealing with EQ reviews, it may be confusing for readers to have multiple responsible parties in a single standard.</li> <li>3. Objective will be more complex to address the increased content of ISQC 2.</li> </ol> |

**ISQC 1 – Illustrative Extracts****Requirements****Engagement Performance**

43. In designing and implementing responses to address the quality risks identified by the firm, the firm shall include the following responses that relate to engagement performance:

...

(e) ~~[Moved from e(i) below]~~ Establishing policies or procedures shall require that engagement quality reviews regarding: (i) ~~The scope of engagements subject to an engagement quality review, including requiring an engagement quality review to be performed for:~~ (Ref: Para. A100–A102)

~~(i)a-~~ All audits of financial statements of listed entities and of other entities that are of significant public interest;

~~(ii)b-~~ Engagements for which an engagement quality review is required by law or regulation; and

~~(iii)c-~~ Other engagements or classes of engagements for which the firm has determined that an engagement quality review is an appropriate response to a quality risk identified by the firm because of the reasons for the assessment given to the quality risk or for other reason(s).

(eA) Establishing policies or procedures addressing engagement quality reviews in accordance with ISQC 2. regarding:

~~[Moved (e)(i) to (e) above]~~

[Note: the application material [in ISQC 1](#) will include a short summary of the content of ISQC 2]

## ISQC 2 – Selected Requirements Only

[Note: the Introduction will include a short summary of the EQ review requirements in ISQC 1]

### Requirements

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#### Appointment and Eligibility of Engagement Quality Reviewers

19A. **[Moved from ISQC 1.43(e)(ii)]** In designing and implementing responses to address the quality risks identified by the firm, the firm shall establish policies or procedures regarding t<sup>†</sup>he appointment of engagement quality reviewers to perform engagement quality reviews, including:

- (a) The assignment of responsibility for the appointment of engagement quality reviewers to an individual with the competence, capabilities, appropriate authority within the firm and objectivity, needed to assume the responsibility; (Ref: Para. A104)
- (b-) The criteria for eligibility to perform, or participate as an assistant in, the engagement quality review that fulfill the requirements in ISQC 2,<sup>†</sup> including limitations on the eligibility of individuals to be engagement quality reviewers who previously served as engagement partner on the engagement subject to the review; and (Ref: Para. A105–A106C) **[Moved to para. 20]**
- (c)- The replacement of the engagement quality reviewer when the reviewer's ability to perform the engagement quality review is impaired. (Ref: Para. A106D)

#### Eligibility Criteria for the Engagement Quality Reviewer

20. The firm's policies or procedures addressing the eligibility of the engagement quality reviewer established in accordance with ISQC 1 (Revised) shall includeing limitations on the eligibility of individuals to be engagement quality reviewers who previously served as engagement partner on the engagement subject to the review; and (Ref: Para. A105–A106C) require the firm to evaluate whether the individual to be appointed as the engagement quality reviewer is eligible for that appointment by determining that the individual: (Ref: Para. A6, A105–A106C) **[new text moved from paragraph 43(e)(ii)(b) of ISQC 1]**

- (a) Is not a member of the engagement team;
- (b) Is a partner or other individual with the competence, capabilities and appropriate authority to evaluate, including to question, when appropriate, the significant judgments made by the engagement team and the conclusions reached thereon; (Ref: Para. A7–A11)
- (c) Is not subject to threats to objectivity related to the engagement or the engagement team that are not at, or that have not been reduced to, an acceptable level and complies with the firm's policies or procedures that address the engagement quality reviewer's objectivity (including, when applicable, limitations on the eligibility of individuals to be appointed as engagement quality reviewers who previously served as the engagement partner on an engagement subject to the review); and (Ref: Para. A12–A16)
- (d) Complies with:

<sup>†</sup>—~~Proposed ISQC 2, paragraphs 20 and 22~~

- (i) Relevant ethical requirements; and (Ref: Para. A17–A19)
  - (ii) When applicable, requirements of law and regulation that are relevant to the eligibility of the engagement quality reviewer. (Ref: Para. A20)
21. When the engagement quality reviewer is, or becomes, aware of circumstances that impair the engagement quality reviewer's eligibility to be an engagement quality reviewer, the engagement quality reviewer shall: (Ref: Para. A21)
- (a) Discontinue the performance of the engagement quality review; or
  - (b) Decline the appointment to perform the engagement quality review by notifying the firm so that the firm can appoint another individual who meets the eligibility requirements.
22. **[Lead-in adapted from ISQC 1. 43(e)(ii)(b)]** The firm's policies or procedures addressing the eligibility of the engagement quality reviewer shall include policies or procedures regarding individuals who assist the engagement quality reviewer. Such policies or procedures shall require that individuals who assist the engagement quality reviewer, when applicable, in performing the engagement quality review shall: (Ref: Para. A22–A23)
- (a) Not be members of the engagement team;
  - (b) Have the competence and capabilities to perform the duties assigned to them; and
  - (c) Comply with relevant ethical requirements and, if applicable, the requirements of law and regulation that are relevant to the eligibility of the engagement quality reviewer.

#### Policies or Procedures Addressing the Conduct of an Engagement Quality Review

19B. [Moved from ISQC 1.43(e) lead-in and (iii)-(vi)] In designing and implementing responses to address the quality risks identified by the firm, the firm shall establish policies or procedures regarding:

- (a) The responsibilities of the engagement quality reviewer in performing and documenting the engagement quality review that fulfill the requirements of this ISQC-2.
- (b) The responsibilities of the engagement partner in relation to the engagement quality review, including prohibiting the engagement partner from dating the engagement report until the completion of the review. (Ref: Para. A108–A108A)
- (c) Circumstances when the nature and extent of engagement team discussions with the engagement quality reviewer about a significant judgment give rise to a threat to the objectivity of the engagement quality reviewer. (Ref: Para. A109)
- (d) Communication of responsibilities for engagement quality reviews to, as applicable:
  - (i) Individuals involved in appointing engagement quality reviewers;
  - (ii) Engagement quality reviewers and individuals who assist engagement quality reviewers in performing such reviews; and
  - (iii) Engagement partners and members of engagement teams on engagements subject to engagement quality review.

#### **Performance of the Engagement Quality Review**

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